

or something else. You can probably find a statistical correlation that says the strength will go on for a few more quarters. But you can have a statistically significant finding that is still a weak forecasting tool. For the question remains, how long will a trend continue, and when will it reverse? Those are hard questions to answer.

So much of what happens in the market, in the short run, is just random, but that is seldom acknowledged. There has to be a reason the market went up or down yesterday, so *The Wall Street Journal* and the other papers call up analysts and money managers and ask them why. What you usually read in the paper is simply a logical fallacy. Something happened after something else, and therefore the first event must have caused the second event. The bond market goes up a quarter of a point, and a reporter rings up somebody at Salomon Brothers, and the trader she gets on the phone figures his name in the paper would impress his girlfriend, so he looks at his terminal and says, "Well, the Bank of France lowered interest rates yesterday and that had a favorable impact on the U.S. market." So the reporter writes it down, it appears the next morning, and readers nod as though they now understand. The truth is, no one knows why the hell the bond market did what it did.

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I've been guilty of this foolishness myself when talking to reporters. When the October 1987 market break came, I had been worried about problems in the Persian Gulf. Somebody had fired on an offshore oil platform, and I thought a war might break out. The market fell off for reasons that had nothing to do with the Mideast, but if somebody had called me on the Friday before the crash and